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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Here We Go Again

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Last Week's S&P 500 Index:
+2.0%

Key takeaways

- *In the later stages of an economic cycle, data related to the level of general inflation, wage pressure and Federal Reserve (Fed) monetary policy are closely watched by the market.*
- *This Friday's employment report will show the 12-month change in average hourly earnings. The financial world will be watching and ready to react.*

We did it in February. Then we did it again in March. And now we are getting ready to do it again in April. And, if you are still wondering, we get to do it every month this year and beyond. What is this strategist talking about? And, no, it isn't the big downside move we had in stocks to start this week. What I am referring to is the employment report. The government will release the March data on Friday, April 6, at 8:30 a.m. Eastern Time. And the entire investing world will be watching closely for one nugget of information.

Let's briefly go back in time and talk about one of the issues we anticipated beginning to concern the equity market in the second half of last year: the potential for wage inflation. Clearly, our timing was off. The concerns we projected came to the forefront in a violent way a month or two later than we projected when the January employment report was released on February 2—the rise in year-over-year average hourly earnings increased 2.9%, more than the 2.6% rate the market expected. Yes, that is a very small margin of error, but late in a cycle, sensitivity to economic numbers that affect inflation and/or corporate profit margins is in a heightened state due to the potential impact those factors might have on Fed monetary policy decisions. That reading on the January employment situation triggered a more than 10% pullback in the S&P 500 Index over the course of just six trading days.

Now, bring the timeline forward a bit. When the employment report covering February was released on March 9, almost the exact opposite occurred. When the 12-month rise in average hourly earnings came in at 2.6%, less than the 2.8% gain the average economist expected, the party started early. By the close of trading, the S&P 500 Index had staged a strong rally. The market celebrated as investors interpreted the weaker wage pressure as potentially holding the Fed to just three rate hikes this year. As we have stated numerous times over the past 18 months, 2018 is likely to be all about the Fed and U.S. monetary policy.

And, finally, the present: We are in the first week of April. Spring may be officially on the calendar, but it doesn't feel like it yet in most parts of the country. A cold, damp winter chill is still hanging over the stock market. Volatility (mostly downward) has remained high, and there is little clarity on issues concerning the equity markets, such as general inflation, wage pressure, trade issues, and, of course, Fed monetary policy. But, this Friday, investors will get to see that important monthly data point again as the government releases the employment report covering March. The year-over-year change in average hourly earnings will be the focus. The consensus is calling for a 2.7% gain.

In our opinion, the line in the sand on this indicator is the 3% level. If the March report shows that wages rose at a 3% or greater clip over the past 12 months, the stock market is likely to have an ugly day. Anything less and the market will be happier. A 2.5% or 2.6% reading likely would be celebrated with a rally in the major indices. Pay attention on Friday. Here we go again.

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